

Japan Technology: Hardware – Industrial Electronics: CARR 2Q: Favorable implications for MELCO and Pana, cost rises bear watching

Carrier (covered by our US Multi-Industry sector analyst Joe Ritchie) announced 2Q26 results on July 28 (JST). **Key takeaways were as follows. 1) In the Americas, channel inventory is down -25% yoy, and the company expects strong demand to continue into 2H. 2) In Europe, heat pumps remain strong, growing +20% yoy. 3) Asia is also performing well, excluding China. From a sales perspective, we see positive implications for earnings at Mitsubishi Electric and Panasonic Holdings.**

On the other hand, for Carrier, rising raw material costs and other factors are impacting profit margins. **We are upbeat about both Mitsubishi Electric and Panasonic Holdings working to reduce fixed costs, but the impact of high costs also needs to be kept in mind.** Additionally, regarding Mitsubishi Electric, we think the earnings outlook is positive for its Factory Automation (FA) business, as **the group's specialized trading company RYODEN raised its full-year earnings guidance on July 28.**

Carrier's results also confirmed strong data center demand, particularly in the Americas. In the DC air conditioning space, Mitsubishi Electric develops chillers mainly in Europe, but is looking to expand its business to the US, and we see potential for positive developments on this front.

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Key takeaways from Carrier's results briefing

- 2Q sales came to US\$6,351 mn (Bloomberg consensus: US\$6,021 mn), with organic growth of +3% yoy.
- 2Q adjusted operating profits finished at US\$1,095 mn (consensus: US\$1,041 mn), down -6% yoy. The adjusted operating profit margin was 17.2% (-190 bps yoy). Higher volumes and productivity improvements contributed, but this was offset by rising raw material costs and an unfavorable business mix.
- 2Q orders were up by +40% yoy. Commercial HVAC was strong at +65% yoy, with particularly strong demand seen in data center-related business, up over +300% yoy. Carrier guides for FY26 data center sales of US\$2.0 bn, an upward revision from previous guidance of US\$1.5 bn. The product portfolio for CDUs (coolant distribution units) is expanding, and orders for CARR's QuantumLeap cooling solution are increasing.
- The order backlog at the end of 2Q was over USD8 bn, up +40% yoy and +20% qoq.

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- **Climate Solutions Americas (CSA) business:** 2Q sales were US\$3,372 mn (consensus: US\$3,138 mn), with organic growth of +4% yoy. Residential (+9% yoy) and Light Commercial (+10% yoy) were strong. Residential channel inventory was down -25% yoy, and the company expects strong growth in 2H. Commercial was down -8% yoy due to shipment timing, but the company expects expansion in data center-related business in 2H26. Commercial orders doubled yoy, driven by data center-related orders, which were up over +300% yoy.
- **Climate Solutions Europe (CSE) business:** 2Q sales were US\$1,324 mn (consensus: US\$1,307 mn), with organic growth of +3% yoy. Residential & Light Commercial (RLC) saw positive high-single-digit % growth yoy. The electrification trend continues, and heat pump sales performed well, up +20% yoy. While Commercial saw a mid-single-digit % decline, CARR expects a recovery in 2H26 on data center-related demand.
- **Climate Solutions Asia Pacific Middle East & Africa (CSAME) business:** 2Q sales were US\$917 mn (consensus: US\$867 mn), with organic growth of +4% yoy. In China, RLC remained weak, down -25% yoy. However, other regions excluding China were strong, with positive growth in India (+35% yoy), the Middle East (+35% yoy), Southeast Asia (+20% yoy), and Australia (+30% yoy).
- The company raised its FY26 full-year guidance. Sales guidance was raised from US\$22 bn to US\$23 bn, and adjusted operating profit guidance from US\$3.4 bn to US\$3.5 bn.

Price Target Risks and Methodology - Panasonic Holdings

We are Buy rated. Our 12-month target price is ¥5,000. We apply an EV/EBITDA multiple of 9.0X (FY3/28E base year, based on the historical correlation between EV/EBITDA and EBITDA margin). Risks: **Companywide:** (1) Weaker-than-expected progress with fixed-cost reductions or insufficiently realized benefits from business reforms across the company as a whole, (2) weaker growth prospects due to the loss of key personnel during the fixed-cost reduction process, (3) slower-than-expected progress in revamping the business portfolio as a result of delays selecting buyers, (4) additional investment and depreciation burdens arising due to increased demand for cylindrical batteries, and (5) forex trends (we estimate that every ¥1 appreciation vs. the USD/EUR/CNY impacts annual adjusted operating profits by -¥0.9 bn/-¥1.0 bn/+¥4.7 bn, respectively). **Lifestyle updates business:** Weaker demand for residential/commercial air conditioners due to a downturn in the global economy, or the loss of market share to more popular or cheaper products at competitors. **Panasonic Connect:** (1) A slump in the company's aircraft services business if the "bring your own devices" trend were to become more common for in-flight entertainment on commercial aircraft, (2) weaker-than-expected sales growth at acquired company Blue Yonder (standalone basis), (3) major impairment losses on Blue Yonder if the calculation of its present value were to require a higher WACC due to rising interest rates, softer demand or other factors (indication of impairment is checked every quarter), and (4) a longer-than-anticipated decline in demand for various mounting systems used in process automation, such as the manufacture of PCs and smartphones. **Panasonic Energy:** Tesla opting to increase its use of batteries made by other companies, leading to stronger pricing pressures, a further slowdown in the EV market, or increased

competition in the generative AI-related battery backup unit (BBU) business. **Panasonic Industry:** Weaker-than-expected factory automation-related demand, stiffer competition in the generative AI-related hybrid capacitor and circuit board material businesses, or a longer-than-expected downturn in demand for smartphones and other consumer electronics.

Price Target Risks and Methodology - Mitsubishi Electric

Valuation methodology: We are Buy rated. Our 12-month target price of ¥7,400 is based on an FY3/28E EV/EBITDA of 14X (based on the correlation between EV/EBITDA and EBITDA margins of global competitors).

Key downside risks: **Industrial automation systems (FA):** Marginal profit growth on top-line expansion failing to offset higher depreciation from the company's new production facilities if the slowdown in orders is prolonged. **Industrial automation systems (automotive equipment):** A lack of progress exiting from the car multi-media business, challenges finding partners in the CASE business, or a sharp slowdown in production at client automakers. **Home appliances (HVAC):** Challenges achieving production scale due to difficulties procuring components and other factors, or deteriorating margins in the ATW business in a stronger competitive landscape. **Power semiconductors:** Inability to secure sufficient sales/orders to cover new capex, or more intense price competition on significant investment by Chinese companies and other rivals. **Elevator & escalator business:** Stalled new construction demand in China and other markets, or the outflow to third parties of high-margin maintenance contracts in the domestic business. **Infrastructure systems:** Project delays or larger-than-expected losses generated in the defense & space systems business. **Companywide:** Weaker prospects for synergies realized between businesses, and yen appreciation.

Disclosure Appendix

Reg AC

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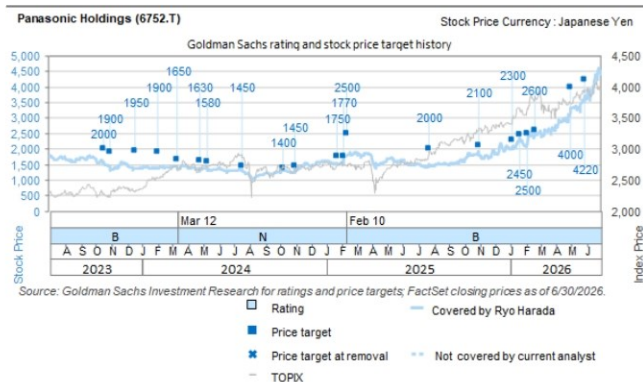
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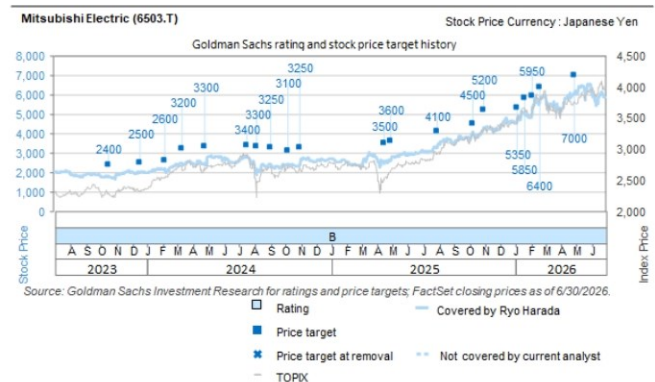
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	Buy	Hold	Sell		Buy	Hold	Sell
Global	50%	34%	16%		65%	59%	43%

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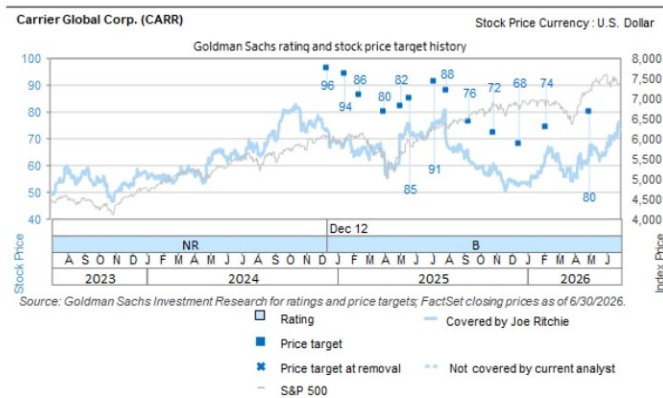
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Target price history table(s)

Carrier Global Corp. (CARR)

Date of report	Target price (\$)	Closing price (\$)
10-Jul-26	85.00	69.34
30-Apr-26	80.00	67.17
06-Feb-26	74.00	63.92
16-Dec-25	68.00	53.44
28-Oct-25	72.00	58.74
11-Sep-25	76.00	62.30
30-Jul-25	88.00	68.20
07-Jul-25	91.00	74.64
21-May-25	85.00	72.09

Panasonic Holdings (6752.T)

Date of report	Target price (¥)	Closing price (¥)
07-Jul-26	5,000	4,400
29-May-26	4,220	3,700
30-Apr-26	4,000	3,203
19-Feb-26	2,600	2,525
04-Feb-26	2,500	2,194
19-Jan-26	2,450	2,351
05-Jan-26	2,300	2,079
30-Oct-25	2,100	1,924
23-Jul-25	2,000	1,506

Carrier Global Corp. (CARR)

Date of report	Target price (\$)	Closing price (\$)
05-May-25	82.00	70.81
02-Apr-25	80.00	65.04
12-Feb-25	86.00	63.60
16-Jan-25	94.00	69.74
12-Dec-24	96.00	73.54

Panasonic Holdings (6752.T)

Date of report	Target price (¥)	Closing price (¥)
10-Feb-25	2,500	1,784
04-Feb-25	1,770	1,530
23-Jan-25	1,750	1,548
31-Oct-24	1,450	1,238
07-Oct-24	1,400	1,318
18-Jul-24	1,450	1,318
09-May-24	1,580	1,387
24-Apr-24	1,630	1,393
12-Mar-24	1,650	1,394
02-Feb-24	1,900	1,383
19-Dec-23	1,950	1,370
30-Oct-23	1,900	1,437
17-Oct-23	2,000	1,585

Mitsubishi Electric (6503.T)

Date of report	Target price (¥)	Closing price (¥)
07-Jul-26	7,400	5,947
28-Apr-26	7,000	6,078
19-Feb-26	6,400	5,731
03-Feb-26	5,950	5,000
19-Jan-26	5,850	5,100
05-Jan-26	5,350	4,790
31-Oct-25	5,200	4,317
08-Oct-25	4,500	4,089
31-Jul-25	4,100	3,342
28-Apr-25	3,600	2,620
16-Apr-25	3,500	2,493
31-Oct-24	3,250	2,388
07-Oct-24	3,100	2,461
02-Sep-24	3,250	2,461
07-Aug-24	3,300	2,161
18-Jul-24	3,400	2,804
26-Apr-24	3,300	2,393
12-Mar-24	3,200	2,416
05-Feb-24	2,600	2,214
19-Dec-23	2,500	2,001
17-Oct-23	2,400	1,815

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